Chapter 11

Dhandho 302: Fixate on Arbitrage

Arbitrage is a powerful construct and a fundamental tool in the arsenal of any value investor. With arbitrage, we get decent returns with virtually no risk. The elimination of downside risk, even if upside is limited, is awesome—and that's exactly what arbitrage gives us. With arbitrage, the appeal is, "Heads, I win; tails, I breakeven or win!" Although many different forms of arbitrage exist, compare these four:

1. TRADITIONAL COMMODITY ARBITRAGE

If gold is trading in London at $600 per ounce and is changing hands at $610 per ounce in New York City, an arbitrageur can buy in London and immediately sell in New York, capturing the spread. Over time, these trades will lead to the spread being dramatically narrowed or eliminated.

2. CORRELATED STOCK ARBITRAGE

Berkshire Hathaway has two classes of stock—BRK.A and BRK.B—which trade on the New York Stock Exchange (NYSE). BRK.B is economically worth 1/30 of BRK.A. One BRK.B share has 1/200 the voting rights of a BRK.A share. So it is slightly inferior as it has less than one-sixth of the voting power for the same dollars invested. Other than that, these two stocks are virtually identical. Also, since Mr. Buffett and his close friends have large enough BRK.A holdings to control the company, these voting right differences are mostly irrelevant. BRK.A shares can be converted into